

ICICI Bank Ltd (NSE: ICICIBANK) | Initiating Coverage

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Summary

HOLD, 12-month target price ₹1,380: 5% upside from ₹1,310.6 (NSE close, 1 Oct 2026). ICICI Bank is a best-in-class franchise, but the current price already pays for it.

- **Quality is not in doubt.** FY26 RoA was 2.2%, net NPA 0.33% and CET-1 16.35%, among the strongest of India's large banks.
- **Returns are drifting down.** RoE fell from 18.7% in FY24 to 16.1% in FY26 as capital built up; we model about 15.4% for FY27E and FY28E.
- **The price already implies our base case.** After ₹173 a share for listed subsidiaries, the stock trades at 2.0x Sep-27E standalone book, implying 9.7% long-term growth versus our 10.0%.

Key data	Value
Rating	HOLD
12-month target price	₹1,380
Price (NSE close, 1 Oct 2026)	₹1,310.6
52-week range	₹1,196 to ₹1,460
Market capitalisation	₹9.38 lakh crore
Shares outstanding	716 crore
Beta, 2-year weekly vs Nifty 50	0.98
Cost of equity	12.5%
Bear to bull target range	₹900 to ₹1,740

Standalone, ₹ crore	FY25A	FY26A	FY27E	FY28E
Net interest income	81,165	88,075	99,468	1,13,273
Profit after tax	47,227	50,147	55,256	62,550
EPS (₹)	66.3	70.0	77.2	87.4
Book value per share (₹)	407.0	467.4	531.5	604.0

Standalone, ₹ crore	FY25A	FY26A	FY27E	FY28E
P/E at current price (x)	19.8	18.7	17.0	15.0
P/B at current price (x)	3.22	2.80	2.47	2.17

P/E and P/B use the full share price, which includes listed subsidiaries, so they overstate the standalone bank's multiples.

Investment thesis

We like the business but not the price: earnings can grow 10% to 13% a year, yet RoE is unlikely to return to its FY24 peak.

1. **Growth is accelerating, from a high-quality base.** In Q1 FY27 (Apr to Jun 2026), loans grew 19.6% and deposits 14.0% year on year, and profit after tax rose 15.9%. Net interest margin held at 4.36%, and net NPA fell to 0.35%.
2. **Capital build and credit normalisation cap returns.** CET-1 of 16.35% and a dividend payout near 17% mean equity grows faster than profit, diluting RoE. Credit cost was 0.37% in FY26, close to a cycle low, so we model 0.40% to 0.45% rather than a further fall.
3. **Listed subsidiaries are worth about ₹173 a share, roughly 13% of the price.** ICICI Prudential AMC alone contributes ₹90 a share after a 20% holding-company discount. The market already credits this value, so it supports the price rather than adding upside.

What would change our view: sustained RoE above 16.5%, or a share price below about ₹1,200 (8% lower) with fundamentals unchanged, would move us to BUY.

Sector backdrop

The rate cycle has turned from easing to a hawkish hold, and loans are outgrowing deposits: both squeeze funding costs for Indian banks.

- **Policy rates:** the RBI cut the repo rate by 125 basis points to 5.25% between February and December 2025, then held. The August 2026 MPC held unanimously with a neutral stance, but its minutes flagged inflation risks ([RBI MPC minutes](#)). The next decision is due on 7 October 2026.
- **Inflation and growth:** CPI inflation rose to 4.4% in June 2026, the first reading above the 4% target in 16 months. The RBI projects FY27 CPI at 5.0% and real GDP growth at 6.7%.
- **Bond yields:** the 10-year G-sec yield reached about 7.17% on 28 September 2026, near a two-year high ([Trading Economics](#)). Higher yields raise the cost of equity and reduce justified valuation multiples.
- **Credit vs deposits:** system bank credit grew 17.7% year on year in mid-June 2026, against about 12.0% for deposits ([RBI weekly statistical supplement](#)). That gap forces banks to compete for term deposits, which pushes up funding costs.

- **Regulation:** after its annual supervisory review, the RBI directed ICICI to hold an additional ₹1,283 crore standard asset provision on agricultural priority-sector loans not fully compliant with classification rules.

What it means for ICICI: its 38.6% average CASA ratio in Q4 FY26 and 14% deposit growth in Q1 FY27 put it ahead of the system. Even so, we assume net interest income as a share of assets eases slightly, from 3.92% in FY26 to 3.88% in FY28E.

Company performance

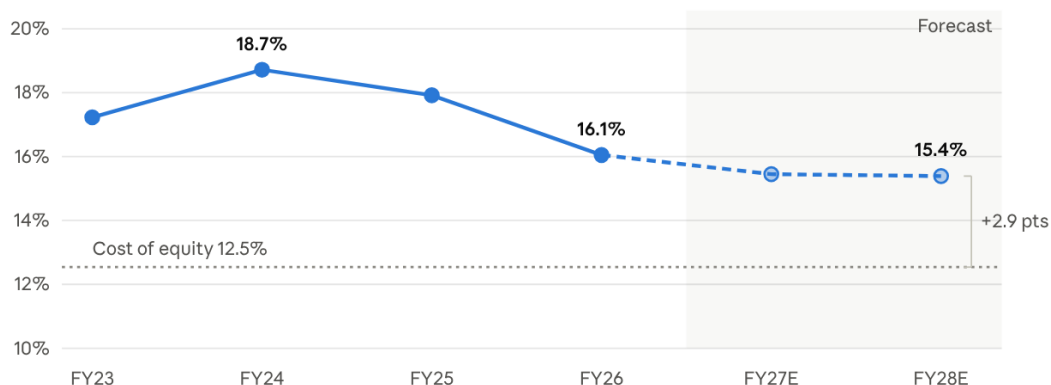
Profit growth slowed from 37% in FY23 to 6% in FY26 as the rate-cycle boost to margins faded, while asset quality kept improving. Profit after tax still more than doubled over four years, from ₹23,339 crore in FY22 to ₹50,147 crore in FY26.

Standalone	FY23	FY24	FY25	FY26
Advances growth	18.7%	16.2%	13.3%	15.8%
Deposit growth	10.9%	19.6%	14.0%	11.4%
Net interest income (₹ crore)	62,129	74,306	81,165	88,075
NII growth	30.9%	19.6%	9.2%	8.5%
Profit after tax (₹ crore)	31,896	40,888	47,227	50,147
PAT growth	36.7%	28.2%	15.5%	6.2%
Cost-to-income	40.1%	40.2%	39.3%	40.2%
Credit cost (provisions / avg loans)	0.71%	0.33%	0.37%	0.37%
Gross NPA ratio	2.81%	2.16%	1.67%	1.40%
Net NPA ratio	0.48%	0.42%	0.39%	0.33%

- **Margins normalised:** reported net interest margin peaked at 4.53% in FY24 and settled at 4.32% in FY25 and FY26.
- **Credit cost is near a floor:** the FY23 figure includes ₹5,650 crore of contingency provisions. The bank still holds a ₹13,100 crore contingency buffer, about 0.8% of loans.
- **Costs are stable:** cost-to-income has stayed in a 39% to 41% band while the bank added 528 branches in FY26.

RoE peaked at 18.7% in FY24; we see 15.4% by FY28E, still ~3 pts above Ke

Return on average equity, standalone, %. Dashed line = forecast; dotted line = cost of equity.



Companion Excel model, Historical and Forecast sheets (base case); ICICI Bank audited results FY23 to FY26. Ke from CAPM, 12.54%.

The spread between RoE and cost of equity, not the absolute RoE, drives the justified P/B: a 3-point spread on a 2.5-point Ke-minus-g gap is what produces our 2.13x.

Latest quarter, Q1 FY27 (Apr to Jun 2026): profit growth re-accelerated to 15.9% from 8.5% in Q4 FY26, helped by lower provisions.

Q1 FY27, standalone	Value	Change
Net interest income	₹24,384 crore	+12.7% YoY
Net interest margin	4.36%	4.34% a year earlier
Fee income	₹7,286 crore	+23.5% YoY
Provisions	₹1,260 crore	-30.6% YoY
Profit after tax	₹14,805 crore	+15.9% YoY
Advances	₹16,31,260 crore	+19.6% YoY
Deposits	₹18,33,586 crore	+14.0% YoY
Net NPA ratio	0.35%	0.41% a year earlier
CET-1 ratio	16.19%	16.35% at Mar-26

Excluding interest on income-tax refunds, Q1 NIM was 4.28%, flat on the year ([MarketBeat](#)). Results data: [JM Financial / Capital Market](#).

Forecasts

We forecast profit after tax of ₹55,256 crore in FY27E (+10.2%) and ₹62,550 crore in FY28E (+13.2%), on 15% to 16% loan growth and broadly stable margins.

Base case, standalone	FY26A	FY27E	FY28E
Drivers			
Advances growth	15.8%	16.0%	15.0%
Deposit growth	11.4%	14.0%	14.0%
NII / average total assets	3.92%	3.90%	3.88%
Non-interest income growth (excl. treasury)	11.1%	14.0%	13.0%
Cost-to-income	40.2%	40.0%	39.5%
Credit cost (provisions / avg loans)	0.37%	0.40%	0.45%
Effective tax rate	24.3%	24.5%	24.5%
Outputs			
Core operating profit (₹ crore)	70,401	79,900	91,568
Provisions (₹ crore)	5,380	6,713	8,720
PAT growth	6.2%	10.2%	13.2%
Dividend per share (₹)	12.0	13.1	14.9
Return on average assets	2.23%	2.17%	2.14%
Credit-deposit ratio	86.6%	88.1%	88.9%

- **Loan growth** of 16% sits below the 19.6% reported in Q1 FY27, allowing for slower growth as the base gets larger.
- **Margins:** NII as a share of assets eases by 4 basis points over two years, reflecting deposit competition. Annualised Q1 FY27 NII of about ₹97,500 crore supports our FY27E figure of ₹99,468 crore.
- **Credit cost** rises to 0.40% to 0.45%, inside management's guidance of under 50 basis points. Annualised Q1 FY27 provisions were about ₹5,000 crore, so our ₹6,713 crore is deliberately conservative.
- **Treasury income** is set to zero: it is volatile and not part of core earnings. Shares are held at 716 crore, ignoring small ESOP dilution.

Valuation

Our ₹1,380 target is the standalone bank at 2.13x Sep-27E book (₹1,211 a share) plus listed subsidiaries at ₹173 a share.

Step 1: cost of equity (CAPM). The risk-free rate is the 10-year G-sec yield, rounded down from about 7.17% to 7.15%. Beta comes from a 105-week regression of weekly returns against the Nifty 50 (correlation 0.71). The 5.5% equity risk premium is our assumption.

$$K_e = R_f + \beta \times ERP = 7.15\% + 0.98 \times 5.50\% = 12.54\%$$

Step 2: justified price-to-book for the standalone bank. Sustainable RoE is the FY27E to FY28E average of 15.42%. Long-term growth of 10% is anchored to India's nominal GDP growth and must stay below K_e .

$$\frac{P}{B} = \frac{RoE - g}{K_e - g} = \frac{15.42\% - 10.0\%}{12.54\% - 10.0\%} = 2.13 \times$$

We apply 2.13x to Sep-27E book value per share of ₹567.8, the average of FY27E (₹531.5) and FY28E (₹604.0), giving ₹1,211 a share.

Step 3: listed subsidiaries at market value, less a 20% holding-company discount.

Subsidiary	Market cap, 1 Oct 2026 (₹ crore)	ICICI stake	Value per ICICI share (₹)
ICICI Prudential AMC	1,52,133	53%	90
ICICI Lombard General Insurance	78,090	51% (approx.)	44
ICICI Prudential Life Insurance	65,002	52.8%	38
Total			173

Unlisted subsidiaries such as ICICI Home Finance are excluded, which makes the total conservative. The Lombard stake is approximate and should be checked against the latest NSE shareholding pattern.

Target price build	₹ per share
Standalone bank (2.13x × ₹567.8)	1,211
Listed subsidiaries	173
12-month target price (rounded to ₹10)	1,380
Upside vs ₹1,310.6	5.3%

What the current price implies. Strip out ₹173 for subsidiaries and the market values the standalone bank at 2.00x Sep-27E book. At our RoE and K_e , that implies 9.7% long-term growth, just below our 10.0%: the market is pricing almost exactly our base case.

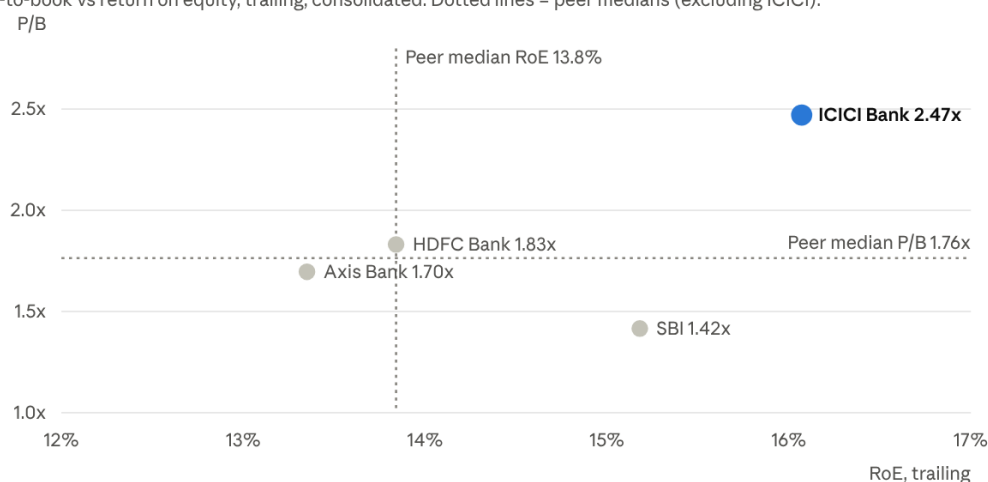
Sensitivity: target price (₹) to sustainable RoE and K_e , with g at 10%. Because K_e minus g is only 2.5 points, each 50 basis points on K_e moves the target by ₹190 to ₹280.

RoE \ Ke	11.5%	12.0%	12.5%	13.0%	13.5%
14%	1,690	1,310	1,080	930	820
15%	2,070	1,590	1,310	1,120	980
16%	2,440	1,880	1,540	1,310	1,150
17%	2,820	2,160	1,760	1,500	1,310
18%	3,200	2,440	1,990	1,690	1,470

Peer cross-check. ICICI trades at 2.47x trailing consolidated book, a 40% premium to the peer median of 1.76x, on an RoE lead of 2.2 percentage points.

ICICI trades at 2.47x book, 40% above the peer median, on a 2.2-point RoE lead

Price-to-book vs return on equity, trailing, consolidated. Dotted lines = peer medians (excluding ICICI).



Not plotted: Kotak Mahindra Bank (P/B 2.30x), RoE not reported by the data provider; included in the P/B median.

Yahoo Finance via yfinance, NSE close 1 Oct 2026; consolidated and trailing as computed by the provider. Same data as the Peers sheet of the model.

Part of that premium is the subsidiaries, worth about 13% of ICICI's share price; the rest is the market paying for consistency. Peer data: Yahoo Finance via yfinance, 1 Oct 2026, consolidated and trailing as computed by the provider.

Scenarios

Risk and reward are roughly balanced: the bear case is 31% below today's price and the bull case 33% above it, so we stay at HOLD.

Driver or result	Bear	Base	Bull
Advances growth, FY27E / FY28E	13% / 12%	16% / 15%	18% / 17%

Driver or result	Bear	Base	Bull
NII / average assets, FY28E	3.75%	3.88%	3.98%
Cost-to-income, FY28E	41.0%	39.5%	38.5%
Credit cost, FY28E	0.70%	0.45%	0.35%
Long-term growth (g)	9.5%	10.0%	10.25%
Holding-company discount	25%	20%	15%
FY28E PAT (₹ crore)	52,925	62,550	67,885
FY28E RoE	13.3%	15.4%	16.5%
Target price (₹)	900	1,380	1,740
Upside / (downside)	(31%)	5%	33%
Implied rating	SELL	HOLD	BUY

- **Bear:** unsecured retail stress lifts credit cost toward 0.70%, and deposit competition compresses margins. RoE falls to about 13%, close to the cost of equity, so the bank is worth little more than 1.3x book.
- **Base:** loans grow 15% to 16%, margins stay broadly stable and credit costs normalise within guidance.
- **Bull:** industrial credit demand keeps loan growth near 18%, fee momentum from Q1 FY27 continues, and credit cost stays near FY26 lows. RoE recovers to 16.5%.

Every scenario runs off one selector cell in the model; the VBA macro RunScenarios recalculates all three and records the results.

Key risks

The biggest risk to a HOLD is that credit costs normalise faster than we assume; the biggest upside risk is a return to rate cuts.

Downside risks

- **Unsecured retail credit:** credit costs at 0.37% leave little room for error. The credit card book shrank 5.6% year on year in Q4 FY26, a sign of caution in the segment.
- **Funding costs:** credit growing about 6 points faster than deposits across the system, plus a possible RBI hike, could compress margins below our 3.88% of assets.
- **Rates and cost of equity:** every 50 basis points on Ke moves our target by ₹190 to ₹280, and the 10-year yield is near a two-year high.
- **Regulatory action:** the ₹1,283 crore priority-sector provision shows supervisory reviews can hit earnings directly.

- **Subsidiaries:** about 13% of the price sits in listed insurers and the AMC. ICICI Lombard's Q1 FY27 profit fell to ₹403 crore from ₹747 crore after higher reserving following a court ruling.

Upside risks

- **Rate cuts resume:** with 49% of domestic loans repo-linked (FY24 disclosure), a renewed easing cycle would hurt margins briefly but lower Ke and lift valuation multiples.
- **Faster growth:** if loan growth stays near Q1 FY27's 19.6% with stable asset quality, earnings would track our bull case.
- **Fee momentum:** Q1 FY27 fee income grew 23.5%; sustaining even half that pace adds to RoE without using capital.

Methodology, sources and disclaimer

All financials are standalone, from ICICI Bank's audited results; every forecast and valuation figure comes from the companion Excel model, ICICI_Bank_Initiation_Model.xlsx.

Method notes

- Fiscal years end 31 March (FY26 = April 2025 to March 2026). Figures are in ₹ crore unless stated.
- Ratios built on averages (RoE, RoA, credit cost, NII / assets) start in FY23, as the March 2021 balance sheet is not in the model.
- Net worth is equity capital plus reserves; shares are capital divided by the ₹2 face value (716 crore at March 2026).
- The model reconciles to reported profit after tax and balance-sheet totals for every year, FY22 to FY26.

Sources

- [ICICI Bank, Q4 FY26 and FY26 results](#), 18 April 2026
- [ICICI Bank, Q4 FY24 and FY24 results](#), 27 April 2024
- [ICICI Bank, Q4 FY23 and FY23 results](#), April 2023
- [Q1 FY27 standalone results, Capital Market via JM Financial](#), July 2026
- [Q1 FY27 earnings call highlights, MarketBeat](#), July 2026
- [RBI MPC minutes, August 2026](#)
- [RBI weekly statistical supplement, June 2026](#)
- [India 10-year G-sec yield, Trading Economics](#), 28 September 2026
- [ICICI stake in ICICI Prudential Life, Upstox](#), 2 September 2026
- [ICICI stake in ICICI Prudential AMC, Business Standard](#), December 2025
- Prices, beta, peer multiples and subsidiary market caps: Yahoo Finance via the yfinance Python library, NSE close 1 October 2026

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